

Board of Directors Package

Pinecrest Specialty Foods — Q4 2022

Board Meeting: February 6, 2023 | Confidential — Board Use Only

Date	February 6, 2023
Location	Atlas Crossing Partners, 2 Embarcadero Center, Suite 1800, San Francisco, CA 94111
Board Members	M. Tang, S. Chen (Atlas Crossing); C. Nakamura (CEO); T. Reid, P. Kim (Independent)
Management	C. Nakamura (CEO); R. Osei (CFO); A. Brennan (CMO); P. Walsh (COO)
Deal Team	M. Tang (MD), D. Okafor (Principal), J. Mendez (VP), S. Liu (Associate)

Agenda

1. Call to order and quorum confirmation
2. Approval of prior meeting minutes
3. Executive Summary and highlights
4. Financial performance review
5. Operational KPI update
6. Strategic initiatives status
7. Risk review
8. Next quarter outlook
9. Other business / adjourn

Executive Summary

Pinecrest Specialty Foods delivered Q4 2022 revenue of \$102.7M and EBITDA of \$13.1M (12.7% margin), ahead of budget by 3.1%. National retail distribution expanded to 56,000 points — up 47% since entry — driven by Kroger, Meijer, and Publix new program wins.

Financial Performance

Metric	Q4 2022 Actual	Budget	Var. to Bud.	Prior Year Qtr	YoY
Revenue	\$102.7M	\$99.6M	+3.1%	\$83.4M	+23.1%
Gross Profit	\$38.6M	—	—	—	—
Gross Margin %	37.6%	—	—	—	—
EBITDA	\$13.1M	\$12.4M	+5.6%	\$10.4M	+26.0%
EBITDA Margin %	12.7%	—	—	—	—
D&A	(\$2.8M)	—	—	—	—
EBIT	\$10.3M	—	—	—	—
Interest	(\$6.0M)	—	—	—	—
Net Leverage	6.5x	—	—	Entry: 7.2x	—
LTM EBITDA	\$45.5M	—	—	Entry: \$37.7M	—

Operational KPIs

KPI	Current Quarter	Entry Baseline	Target
Retail Distribution Points (K)	49.9	38.0	Target: 72.0
Better-for-You % of SKUs	26.4	18.0	Target: 42.0
Manufacturing Facilities	5.0	4.0	Target: 6.0
On-Shelf Availability %	96.1	95.2	Target: 97.8

Strategic Initiatives

Initiative	Status	Detail
Harvest Kitchen integration	In progress	Day-1 complete; systems unified target Q3 2022
BFY reformulation milestone	Launched	42 BFY SKUs live; BFY mix at 28% of total SKUs
National retail expansion	Ahead of plan	56K distribution points vs. 52K plan; Kroger + Publix wins
Foodservice channel pilot	Initiated	Healthcare foodservice pilot with Aramark launched Q3

Key Risks & Mitigation

Risk	Severity	Mitigation
Harvest Kitchen integration	Low	BFY specialist integration; clean DD; smooth Day-1
Input cost inflation	Medium	Commodity costs peaking; forward contracts cover 70% of FY2023
Category competition	Medium	Lean Cuisine and Amy's Kitchen both launching BFY lines — differentiation strategy clear

Next Quarter Outlook

Q1 Q1 2023 expected \$102.6M. Harvest Kitchen fully integrated Q3. BFY targeting 32% of SKUs by YE 2022. Coastal Provisions bolt-on evaluation begins.

Confidential — prepared for the Board of Directors of Pinecrest Specialty Foods and Atlas Crossing Partners. Not for distribution.